

Required Assignment 5.2: Servitisation in the Auto Industry

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Due May 13 by 11:59pm **Points** 20 **Submitting** a file upload **Attempts** 0 **Allowed Attempts** 1 **Available** after May 6 at 12am



Learning Outcomes Addressed

- Understand the fundamental concept of servitisation and its potential impact on business models through the integration of data and artificial intelligence

Assignment Instructions

Read the case study carefully and address the following questions in your report.

Servitisation is an emerging business model in the service-based economy. It is a bundle of a product and its essential services, with usage-based customer payment. The World Economic Forum calls this shift the "experience economy," in which products evolve into services and services evolve into experiences, with data the foundation for delivery.

The servitisation concept is not new. Xerox pioneered a pay-per-page business model for its printers and photocopiers in the 1960s. Rolls-Royce's Power-by-the-Hour initiative for aircraft engines is more than half a century old. Nearly half of Rolls-Royce's revenue is generated through this business model.

The automotive industry has not had much success in adopting servitisation. The revenue share from this business model continues to be low, in single digits. What are OEMs globally doing in their servitisation journey? Mercedes-Benz, for example, shut down its subscription service called "Collection" after a 2-year pilot. Ford sold it. Jaguar Land Rover relaunched it. Some offer features on a subscription basis. Here are some more details.

Toyota and its gamification

Toyota launched Kinto in 2019, a company that will manage a car subscription program and other mobility services in Japan, including selling and purchasing used vehicles, automotive repair and inspection. Unlike other subscription programs, Kinto has gamified the service. The company planned to introduce a service that will award points to customers based on how they drive. Toyota did not explain how safe or "ecological" driving would be tracked, but the assumption is that the vehicles would be equipped with connected-car technology to monitor driving. Points can be applied toward payments, the company said.

Avoiding flat subscription fee

At a convention in February 2020, Volvo Cars said the automaker learned some lessons since it introduced its "Care by Volvo" vehicle subscription program in 2017. Through the program, consumers can acquire a vehicle for two years by paying a monthly flat fee. That also covers insurance, maintenance, potential repairs and wear and tear. Volvo Cars USA CEO Anders Gustafsson said that an early lesson involved the need to revise the original flat-fee insurance coverage because rates vary widely from state to state. - WardsAuto.com

Features on a subscription basis

It might seem counterintuitive, but automakers have been increasingly paywalling features and services for their vehicles, including some physically built features. BMW made headlines after several news outlets spotted that it was selling subscriptions for heated seats in its vehicles. It's not just BMW offering paywalled extras - other manufacturers like Volkswagen, Audi, Toyota and Tesla have tried out subscriptions for certain features and services on demand. - EuroNews

Customer data from pilots

Mercedes-Benz first rolled out its "Collection" subscription service in Atlanta in 2018 with the goal of appealing to customers who want to have access to a fleet of fancy cars but don't necessarily want to own one. The program offered subscribers access to 30 models for a monthly fee. But it never expanded beyond the initial pilot cities. The service was suspended after two years due to mediocre sales. But Mercedes did not away empty-handed. The automaker was able to collect "a mountain of data" on its subscribers, many of whom were, on average, 10 years younger than the automaker's typical customers. This would help the car company's better target millennial-aged car buyers in the future.

JLR relaunches subscription service

Jaguar Land Rover (JLR) launched its "Pivotal" subscription service in 2020, offering flexible ownership with a single monthly payment that covers rental, insurance, tax, servicing and repairs. The company has more recently launched in 2022 a new dedicated website to combine its online purchase, subscription and rental services into one place. The 'Own. Subscribe. Rent.' proposition allows JLR customers to acquire vehicles outside of the traditional retail model.

Ford sells subscription service

Ford sold off its vehicle subscription service "Canvas", ending a two-year experiment that aimed to bridge a gap between renting and leasing. "Canvas built an impressive business and we learned a lot about subscription services, fleet management and the technology that underlies both," said Sam Smith, executive vice president of strategy and future products at Ford Credit, in a statement.

Maruti Suzuki's Subscribe

Despite these starts, stops, pilots and changes in direction, Servitisation continues to be an option vehicle makers cannot overlook. In India, for example, Maruti Suzuki has close to half the market share in the passenger car segment. Its Subscribe is a new way to own a car that gives you all these benefits and more.

For additional information, read more about [Introducing Maruti suzuki subscribe - a new way to drive](#) ➞

Answer the following questions:

Ensure your answers are comprehensive and backed by examples or relevant data. Create a well-structured report to be presented to the CEO.

- Discuss how digital servitisation is expected to impact the automotive industry. Consider the changes in business models, customer relationships and service offerings.
- Explain AI's role in the digital servitisation journey within the Indian automotive market. What specific AI applications or technologies will drive this transformation?
- Identify the digital technologies, AI systems, and data infrastructure that will be necessary to make digital servitisation a reality in the automotive sector. Discuss why these elements are crucial for success.
- Apply the 5V Business Model (Value Creation, Value Delivery, and Value Appropriation) to Maruti's subscription model. In your analysis, assess whether Maruti needs to build new capabilities or transform its existing ones to align with its strategy. Present your findings in a report format suitable for the CEO.

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Criteria	Ratings			Pts
Understanding of digital servitisation impact	5 pts Exceeds expectations Thorough explanation of how digital servitisation transforms the automotive industry, with examples of new revenue streams, customer engagement and the shift to service-based models	3 pts Meets expectations Provide an adequate explanation of the impact, with some examples of new business models and customer engagement.	1 pts Below expectations Basic understanding of the shift from product sales to service-based models, with limited examples	5 pts
Role of AI in transformation	5 pts Exceeds expectations Detailed explanation of AI's role, including predictive maintenance, personalized experiences and operational efficiency, with specific examples relevant to the Indian context	3 pts Meets expectations A general explanation of AI's role in predictive maintenance and personalised services, focusing on India	1 pts Below expectations Basic understanding of AI's role in predicting maintenance and providing personalised services	5 pts
Required digital technologies and data	5 pts Exceeds expectations Comprehensive list of necessary technologies (IoT, AI, Big Data, Cloud Computing, Cybersecurity) with explanations of their roles and interconnections in servitisation	3 pts Meets expectations Identification of key technologies (IoT, AI, Cloud) with some explanation of their importance in servitisation	1 pts Below expectations Basic identification of technologies like IoT and AI, with a limited explanation of their roles	5 pts
Application of 5V Business Model	5 pts Exceeds expectations In-depth analysis of Maruti's subscription model using the 5V framework, with specific strategies for Value Creation, Delivery, and Appropriation. Identifies required capability enhancements	3 pts Meets expectations Adequate analysis using the 5V framework with general Value Creation, Delivery, and Appropriation strategies. Notes potential capability needs	1 pts Below expectations Basic application of the 5V framework with a focus on Value Creation and Delivery. Limited discussion of capabilities	5 pts
Total Points: 20				